

banks want to keep them? Isn't "high yield with safety" what they said about junk bonds in early 1989? Do you want to take on packages of somebody else's mortgage debt, which will be unpayable, and therefore worthless, in a depression? If so, call 1-800-....

In a drive to help the public get invested in commercial real estate debt, the Fed in late 1992 and early 1994 lowered capital standards for banks that sell real estate loans packaged as securities. By 1992, investors had already bought a trillion dollars' worth of home loans packaged as securities, but apparently the Fed decided that even at that level, banks had not yet doled out enough of their mistakes to the public. The entire mortgage-backed securities market has now reached a value of over \$1.5 trillion, half of which is collateralized mortgage obligations (CMOs) of all types. Funds with rock-solid names like "Short-Term Government Income Fund" and "American Government Income Portfolio" have bought CMOs to boost the yield of their funds. In some cases, the funds' investors are not told that such securities will be purchased. In the bond decline of 1994, two firms' money market funds experienced losses stemming from such purchases, so they took the unprecedented step of infusing outside money into them. This is an honorable move, but one that sets a precedent that lawyers can use to shift the blame for losses from the investor to the fund manager in any case where the investment policy is not specifically spelled out. A warning to all money managers reading this book: make sure you tell your customers in writing about the risks they have taken or someone will claim that risk was *yours*.

The junk market has been expanding geographically as well. The Latin American bond market was revived in 1991 as the worldwide craze for "high yield" took off again, but this time there was a difference. Latin American debt has always been a shaky proposition to the extent that their bluest chip debt often carried a high-risk rating in the United States. By 1993, investors began scrambling to buy not just Latin American blue chips, but Latin American *junk*. October of that year saw the launching of two investment funds dedicated exclusively to "buying in the secondary Latin American debt market." According to Reuters, the launch was "driving prices higher in a continuing scramble for high-yielding assets." North Americans bought \$2.7 billion worth of south-of-the-border bonds in 1993, six times the 1992 rate and 5% of all junk sold. Investors, said *The Economist*, were "anxious to pick up extra yield" from bonds issued by Mexico, Argentina, Venezuela, Peru and Ecuador, and "have become more comfortable with developing-country risk."